

Returning to the figure, the stock stages an upward breakout in March 2002, but bumps against overhead resistance. I only show the end of the resistance zone that dates back to December 1997, about 5 years before the pattern appeared. You can see how price tried in August, September, and again in October to push through the ceiling. In early March 2002, it succeeded in making a new high, but the rise soon faltered, predicting a tumble in natural gas prices. Not shown, but in late July the stock dropped to 15.61, a multiyear low.

Many times the reason price changes trend is not as clear as in this example (overhead resistance and diverging gas prices). However, by digging into the fundamentals and with knowledge of the technicals—spiced with experience—you will be surprised at how often you can call the turns.

Statistics

[Table 56.2](#) shows general statistics.

Number found. I uncovered 1,434 rounding tops in 651 stocks with the first found in July 1991 and the most recent February 2020. Not all stocks covered the entire period, and some stocks no longer trade.

Reversal (R), continuation (C) occurrence. The trend followers (bull market/up breakout and bear market/down breakout) show continuation patterns happening most often. Countertrend patterns prefer reversals.

Notice how the widest spread between the appearance of reversals and continuations follows the market trend. In other words, the two columns bull market/up breakout and bear market/down breakout have continuations appearing far more often than reversals. The countertrend columns, the two inner ones, show smaller differences.

Reversal/continuation performance. Upward breakouts show patterns acting as reversals outperforming continuations. Downward breakouts show the reverse with continuations performing better.

If you want to use this finding, then look at the inbound price trend (the price trend leading to the pattern's start). If it's above the top of the chart pattern, then the price trend is downward. If price breaks out upward, then